

Economic Torts

Following are considered economic torts:-

1. Interference with subsisting contract.
2. Intimidation
3. Malicious Falsehood
4. Conspiracy
5. Passing off
6. Causing loss by unlawful interference or unlawful means

1. **Interference with a subsisting contract:-** X commits a tort if he intentionally interferes with a contract between Y and Z without lawful justification. He also commits tort in this case either by persuading Y to break his contract or by some act which is tortious in itself and which prevents Y from performing his contract.

Thus intentionally inducing a person to break a contract entered into by him with another and that without lawful justification is a tort of interference with a subsisting contract. This tort owes its origine in the action for enticing away a servant of another. In *Lumley v. Gye* 1853 the scope of this tort was greatly widened. In this case it was held that such an action was not confined to contracts between the master and servant. The fact of the case was that one Johanna Wagner, a famous opera singer had entered into a contract with the plaintiff to sing for him. The defendant induced her (by paying a huge amount of money) to break her contracts with the plaintiff and to sing for the defendant. The defendant was held liable for interfering with the contract between Miss Wagner and the plaintiff.

The principle of law in this regard was extended a step further by lord Macnaughten in *Quinn v. Leatham* 1901 AC 495. The following principles were stated in this case,(a) That, there must be interference in the execution of the contract. It extends to a case where a third person prevents or hinders one party from performing his contract, even though it be not a breach. (b) That the interference must be deliberate (c) That the interference must be direct. Indirect interference is only unlawful if unlawful means are used.

2. **Intimidation:-**The tort of intimidation is inflicted by means of threats. Threat for this purpose means

“an intimidation by one to another that unless the latter does not do something the former will do something which the latter will not like. Furthermore, a threat to constitute an actionable tort must be an unlawful act. Thus intimidation is a wrong which includes all those cases in which harm is inflicted by the use of unlawful threats where by the lawful liberty of others to do as they please is interfered with.

In *Rookes v. Barnard* 1964 A.C. rejecting the contention of the defendants that a threat to commit a breach of contract is not sufficient to constitute the tort of intimidation and that to constitute an actionable tort of intimidation, there must be a threat to commit a tort, Lord Reid observed:- “Intimidation of any kind appears to me to be highly objectionable. The law was not shown to prevent it when violence and threats of violence where the most effective means.”

3. **Malicious Falsehood:-** An action will lie for written or oral falsehoods, not actionable per se nor even defamatory, where they are maliciously published, where they are calculated in the ordinary course of things to produce, and where they do produce actual damage, is established law. Such an action is not for liable or slander, but an action on the case for damage willfully and intentionally done without just occasion or excuse, analogous to an action for slander of title. To support it actual damage must be shown, for it is an action which only lies in respect of such damage as has actually occurred. This was held and observed by Bowen, L.J. of the court of Appeal in *Redcliffe v. Evans* 1892 Q.B.
4. **Conspiracy:-** It has been recognized as an independent tort by the house of lords in *Croft v. Hand Woven Harris Tweed Co. v. Veitch* 1942 A.C.
5. **Passing off:-** When a trader represents his goods as those of other, it is known as the tort of passing off. Where a trader imitates the get up or appearance of the plaintiffs goods or sells them under s similar name, these are the example of passing off. When a trader represents his goods as those of other, he is

liable even though he is innocent and has no intention to deceive.

White Hudson and Co. Ltd. v. Asian Organisation Ltd. In this case medicated cough sweets in red cellophane wrappers, bearing the word "Hack" of the plaintiff had been sold in Singapore since 1953. In 1958 the defendants also started selling in

Singapore their cough sweets bearing the word "Pecto" in red cellophane wrappers resembling those of the plaintiff's medicated cough sweets had become so popular by 1958 that the purchasers that acquired the habit of asking for "red paper cough sweet". It was also established that majority of purchasers in Singapore could not read English. The Privy Council held that the plaintiffs were entitled to an injunction restraining the defendants from selling cough sweets in the red cellophane wrappers without clearly distinguishing them with those of the plaintiff.

Essentials of the tort of passing off:-The following must be present in order to create a valid cause of action for passing off. They are:-

- (a) A misrepresentation
- (b) That misrepresentation by a trader in the course of trade
- (c) That misrepresentation to prospective customers or consumers
- (d) That misrepresentation is calculated to injure the business or goodwill of another trade where the consequence was reasonably foreseeable consequence: and
- (e) That actual damage is caused to a business or goodwill of the trader by whom the action is brought or will probably do so.

Distinction between Passing off and Deceit:

Passing off	Deceit
1. The deception is not on the plaintiff but on some others	1. Deception is on the plaintiff.
2. The plaintiff seeks to protect his proprietary right of his goodwill or business.	2. The plaintiff claims compensation for the injury caused due to deception practiced on him.
3. Completion of deception is not essential	3. Completion of deception is essential.
4. Remedy of injunction is also available.	4. Damages is the only remedy.

6. Causing loss by Unlawful Means or Unlawful Interference:-

It has been recognised as a new tort by Lord Denning M.R. in *Hadmore Products Ltd. v. Hamilton* 1983 A.C.

In *Acrow (Automation) Ltd. v. Rex Chainbelt Inc.* 1971 the defendant company was held liable for assisting another company to defy an injunction granted to the plaintiff against the company directing it not to commit a breach of contract. Further it was held that the exercise of a legal right by the defendant even though done with improper motive.

The boundaries of the tort of causing loss by unlawful means is not clear. The problem may arise when the scope of one of those torts is widened. For example, in *Rooks v. Barnard* 1964 A.C. the scope of intimidation was widened to include threats to break a contract.